

Balu Forge Industries Ltd

Concall-Tracker report · Screener ticker BALUFORGE (NSE: BALUFORGE) · no concall transcripts — global web deep-dive · all figures CONSOLIDATED · prepared 31 Aug 2026

A note on which numbers are used. Screener's default series for this company is **standalone** and shows Q1 FY27 revenue of ~₹175 cr and profit of ~₹38 cr. The company reports and is discussed on a **consolidated** basis — which includes its German operations — putting the same quarter at **₹300.7 cr and ₹66.1 cr**. Roughly two-fifths of this business sits outside the standalone accounts. **Every figure here is consolidated.** On that basis the shares trade at ~28.5× earnings, not the ~48.7× the standalone page implies.

1. Snapshot

What the business does (one line): Balu Forge **forges and precision-machines heavy metal components** — principally **crankshafts**, the central rotating shaft inside an engine — at its plants in Belagavi, Karnataka and Mannheim, Germany. It sells to engine makers and their major suppliers in more than 80 countries, and is now deliberately shifting from automotive work toward **defence ammunition, aerospace and railways**. In plain terms: it makes precision-critical metal parts, mostly for export, and is moving up into higher-value, longer-cycle defence work.

Figure	Value	Plain-English read
Market capitalisation	₹7,648 cr (price ₹631)	What the whole company is worth. The share has ranged ₹341–697 over the past year — it has roughly doubled off the low.
Price-to-earnings	28.5×; dividend negligible	About 29 times last year's profit — a growth rating. Effectively no dividend; all cash is retained.
Q1 FY27 revenue (Jun'26 qtr)	₹300.7 cr, up 29% YoY	Revenue in the June 2026 quarter, against ₹233 cr a year earlier.
Q1 FY27 operating profit	₹84.8 cr, margin 28.2%	Up 17.3% year-on-year — but the margin fell from 31.0% a year ago. Profit is growing more slowly than sales, which is the first time that pattern has appeared.
Q1 FY27 net profit	₹66.1 cr, up 15.9% YoY	Profit rose about half as fast as revenue. Note the tax rate is unusually low at 12–20% across recent quarters, which flatters the net line.
FY26 (full year)	₹1,107 cr revenue, ₹259 cr profit	Revenue up 20% and profit up 27% — strong, but a marked slowdown from FY25, when revenue grew 65% and profit 119%.
Five-year record	₹142 → 286 → 327 → 560 → 924 → 1,107 cr	FY21 to FY26 — revenue up nearly eightfold in five years, with profit rising from ₹8 cr to ₹259 cr. An exceptional run by any measure.
Margin transformation	9% (FY21) → 27% (FY26)	Operating margin tripled as the business moved from forging alone into integrated forging <i>and</i> precision machining, which captures far more value per tonne.
Return on capital	ROCE 22.7%; ROE 19.6%	For every ₹100 of capital the business earns about ₹23 a year before tax — strong for a capital-intensive forging operation.
Exports		

	~90% of revenue; Europe ~45%	This is overwhelmingly an export business serving more than 80 countries. Currency and European industrial demand matter more than anything happening in India.
New funding approved	USD 60 m FCCB; borrowing limit to ₹1,000 cr	Foreign currency convertible bonds by private placement, plus a proposed rise in the borrowing ceiling — both subject to shareholder approval. A step change in the capital structure.

2. Concall coverage

No concall transcripts were available on Screener for this company — this report is based on a global web deep-dive. Screener lists **18 investor-call entries** going back to February 2023, including calls in February, May and June 2026, and carries **a transcript for none of them**. So management's own quarter-by-quarter words cannot be checked at all. The analysis below rests on results filings, exchange announcements, order disclosures, company material and published coverage.

Sources used: Q1 FY27 results and coverage (August 2026), including the EBITDA margin, order and fundraising disclosures; FY26 and FY25 results; exchange announcements on the 152mm artillery-shell order and the maiden aerospace order; company and trade-press material on the Belagavi and Mannheim facilities, capacity and export mix; and Screener.in consolidated financial statements.

2b. Latest update highlights — Q1 FY27 (results August 2026) ★

- **Strong top line, softer conversion:** consolidated revenue **₹300.7 cr, up 29%**; EBITDA **₹84.8 cr, up 17.3%**; profit after tax **₹66.1 cr, up 15.9%**. The gap matters — EBITDA margin **fell from 31.0% to 28.2%**, so profit grew at roughly half the rate of sales.
- **Defence has become a real revenue line, not an ambition.** Revenue from defence, aerospace and railways has risen from just **5% in FY24 to 13% in FY26**. In June 2026 the company secured a domestic order for **30,000 units of 152mm artillery shells** from a leading Indian energetics player, with supplies beginning that same month.
- **First aerospace order won:** a maiden order from **Alpha Aircraft Systems Inc., USA** — small in itself, but aerospace qualification is slow and hard to obtain, so the entry matters more than the value.
- **Capacity is being scaled on two fronts:** forging capacity has reached **72,000 MTPA** after integrating three new forging lines, and machining capacity reached **32,000 MTPA** following the acquisition of the **Mercedes-Benz precision machining plant in Mannheim, Germany**. The 46-acre integrated Belagavi campus is being expanded to take machining capacity to **80,000 TPA by FY27**.
- **A significant change in the capital structure:** the board approved issuing **foreign currency convertible bonds of up to USD 60 million** on a private-placement basis and proposed raising the borrowing limit to **₹1,000 cr**, both subject to shareholder approval. For a company that has grown largely on internal accruals, this is the first move to substantial external funding — and convertible bonds carry future dilution.

2c. Business mix & capacity (quick facts)

Domestic vs export: roughly **90% exports**, with **Europe alone around 45%** of revenue, distributed across a network spanning more than 80 countries. Plain read: this is an Indian manufacturer whose customers are almost entirely foreign, so European industrial demand, freight and the rupee drive results more than the Indian economy does. The German machining plant at Mannheim also puts a slice of the cost base in euros.

End-market mix — the shift under way: historically automotive crankshafts for engine makers and Tier-1 suppliers. Management is explicitly **reallocating away from high-volume automotive toward defence ammunition, aerospace forging and advanced machining** — longer-cycle, higher-value work. Defence,

aerospace and railways went from **5% of revenue in FY24 to 13% in FY26**. The product range spans components from **1 kg to 900 kg**.

Capacity utilisation: forging 72,000 MTPA (after integrating three new lines) and **machining 32,000 MTPA** (after the Mannheim acquisition), with the Belagavi expansion targeting **80,000 TPA of machining by FY27**. Percentage utilisation is **not disclosed** and none is invented here. What can be inferred is that machining, not forging, is the binding constraint — machining capacity is under half of forging capacity, and machining is where the margin sits, which is precisely why the expansion targets it.

3. Earning Trigger thesis ★

There are two drivers here, one proven and one emerging. The **proven** one is **integration into precision machining**: by moving from forging alone into forging *plus* finishing — accelerated by buying Mercedes-Benz's Mannheim machining plant — the company tripled its operating margin from 9% in FY21 to 27% in FY26 while revenue grew nearly eightfold to ₹1,107 cr. That is a genuine, completed transformation, and the Belagavi expansion taking machining from 32,000 to 80,000 tonnes a year extends it, since machining capacity is currently less than half of forging capacity and is where the value is captured. The **emerging** driver is the deliberate pivot into **defence, aerospace and railways**, which has gone from 5% of revenue in FY24 to 13% in FY26 and is now backed by real orders — 30,000 units of 152mm artillery shells supplying from June 2026, and a first aerospace order from Alpha Aircraft Systems in the United States. Defence work is longer-cycle, harder to qualify for and generally better priced than automotive. The reason this is not a straightforward Yes-with-no-caveats is that the numbers have just started moving the wrong way: FY26 revenue growth slowed to 20% from 65%, Q1 FY27 margin fell from 31.0% to 28.2%, profit grew at half the rate of sales, and the company is simultaneously raising USD 60 million of convertible bonds.

Trigger	What the record shows	Evidence so far	Horizon	Strength
Forging-to-machining integration	Machining capacity 32,000 MTPA after acquiring Mercedes-Benz's Mannheim plant; forging 72,000 MTPA	Delivered. Operating margin 9% (FY21) → 27% (FY26); revenue ₹142 cr → ₹1,107 cr	Done	Strong
Belagavi machining expansion	46-acre integrated campus; machining to 80,000 TPA by FY27	Under way. Targets the actual bottleneck — machining is under half of forging capacity	FY27	Strong
Defence pivot	Reallocating from high-volume automotive to defence ammunition	5% of revenue (FY24) → 13% (FY26) , plus a 30,000-unit 152mm artillery-shell order supplying from June 2026	FY27+	Strong
Aerospace entry	Maiden order from Alpha Aircraft Systems Inc., USA	Won — but a first order only. Aerospace qualification is slow; revenue meaningful years out	FY28+	Moderate
Global export franchise	~90% exports, 80+ countries, Europe ~45%; supplies OEMs and Tier-1s	Durable and hard to replicate — engine-component approvals take years. Also concentrates risk in European industrial demand	Structural	Moderate
Margin compression (new)	—	EBITDA margin 31.0% → 28.2% year-on-year in Q1 FY27; profit +15.9% against revenue +29%. First quarter of visible deterioration	Now	Watch

Growth deceleration (new)	—	FY25 revenue +65% and profit +119%; FY26 revenue +20% and profit +27%. Q4 FY26 revenue actually <i>fell</i> 15% sequentially with margin at 23%, and profit that quarter was flattered by ₹23 cr of other income	Now	Watch
Funding and dilution (new)	USD 60 m FCCB by private placement; borrowing limit proposed at ₹1,000 cr	A step change from internally funded growth. Convertible bonds imply future dilution; the higher ceiling implies materially more debt	FY27	Key risk
Low effective tax rate	12–20% across recent quarters	Flatters reported profit versus a full ~25% rate. The reason is not publicly explained — and with no earnings call, cannot be asked	Ongoing	Unexplained

4. Management Consistency scorecard

Read this as **severely limited**. Eighteen investor calls are listed since February 2023 and not one transcript is publicly accessible, so there is no record of what management has told analysts. This grades only filings, announcements and reported numbers.

Period	What was signalled	What actually happened	Verdict
FY21 → FY25	Build integrated forging and machining capability	Revenue ₹142 cr → ₹924 cr; operating margin 9% → 27%; profit ₹8 cr → ₹204 cr. An outstanding execution record	Delivered
FY24–FY25	Acquire and integrate the Mercedes-Benz Mannheim precision machining plant; add three forging lines	Both completed — machining capacity 32,000 MTPA, forging 72,000 MTPA	Delivered
FY24 → FY26	Shift the mix toward defence, aerospace and railways	5% → 13% of revenue , backed by a 30,000-unit artillery-shell order and a first aerospace order	Delivered
FY26	Continue the growth trajectory	Revenue +20% and profit +27% — good in absolute terms, but a sharp deceleration from FY25's +65% and +119%	Slowed
Q4 FY26	—	Revenue fell ~15% sequentially and margin dropped to 23%; reported profit of ₹66 cr was supported by ₹23 cr of other income rather than operations	Weak quarter
Q1 FY27	—	Margin fell from 31.0% to 28.2%; profit grew 15.9% against revenue growth of 29%. No public explanation is available	Unexplained
Q1 FY27	Fund the next phase	USD 60 m FCCB and a ₹1,000 cr borrowing ceiling proposed — a material change in	Disclosed

		funding strategy, disclosed to the exchange as required	
2023–2026	—	18 investor calls listed, zero transcripts published or accessible. Three and a half years of calls with no public record	Disclosure gap
Ongoing	—	Effective tax rate of 12–20% is materially below the statutory rate with no public explanation, and no forum exists in which to ask	Unexplained

Narrative drift: On strategy there has been none — and on execution the record is genuinely impressive. In five years this company grew revenue nearly eightfold, tripled its operating margin by integrating forward into precision machining, bought and absorbed a Mercedes-Benz plant in Germany, and shifted a meaningful slice of its mix into defence with real orders to show for it. Very few Indian mid-caps can point to a five-year record that clean. The problem is that the moment the numbers turn ambiguous is exactly the moment this company becomes impossible to assess. In the last two reported quarters, revenue fell sequentially and margin dropped to 23% in Q4 FY26 with profit propped up by ₹23 cr of other income; then in Q1 FY27 margin fell nearly three percentage points year-on-year and profit grew at half the rate of sales. Simultaneously the company is moving from internally funded growth to USD 60 million of convertible bonds and a ₹1,000 cr borrowing ceiling. Any one of those developments would prompt an obvious question on an earnings call — why did margin compress, is it mix, freight, the euro, or the ramp cost of defence work; what will the FCCB conversion price be; why is the tax rate 12–20%. **Eighteen calls have been held since 2023 and not one transcript exists publicly**, so none of those questions has a traceable answer. That is the finding.

5. Bottom line — two verdicts

Durable earning trigger? → YES

The core driver is proven rather than promised. By integrating forward from forging into precision machining — and accelerating that by acquiring Mercedes-Benz's Mannheim plant — Balu Forge took its operating margin from 9% in FY21 to 27% in FY26 while revenue grew nearly eightfold to ₹1,107 cr and profit went from ₹8 cr to ₹259 cr. That transformation is complete and visible in the accounts, and it has further to run: machining capacity of 32,000 tonnes is less than half of forging capacity of 72,000 tonnes, which is precisely the bottleneck the Belagavi expansion to 80,000 tonnes by FY27 attacks, and machining is where the margin lives. On top sits a second driver that has stopped being talk: defence, aerospace and railways went from 5% of revenue in FY24 to 13% in FY26, with a 30,000-unit 152mm artillery-shell order already supplying and a first aerospace order won in the United States — work that is longer-cycle, harder to qualify for and better priced than automotive crankshafts. The trigger is real. What tempers it is that the last two quarters have gone the wrong way: FY26 growth halved to 20%, Q4 FY26 revenue fell sequentially with profit leaning on ₹23 cr of other income, and Q1 FY27 margin compressed from 31.0% to 28.2% so profit grew at half the rate of sales — all while the company takes on USD 60 million of convertible debt.

Management consistent? → MAYBE

Judged purely on what they have built, this management would score highly: an eightfold revenue increase in five years, a margin tripled through genuine forward integration, a cross-border acquisition bought and absorbed, and a defence pivot delivered from 5% to 13% of revenue with real orders rather than memoranda of understanding. Nothing in the strategy has drifted and nothing announced has visibly failed. But this verdict asks whether management delivered what it said, and here there is essentially nothing on the record to check against. **Eighteen investor calls have been listed since February 2023 and not a single transcript is publicly accessible** — three and a half years of talking to analysts with no record for anyone else. That gap matters most right now, because three things have just happened that demand explanation and have received none publicly: operating margin fell nearly

three percentage points year-on-year while revenue grew 29%; the December and March quarters saw revenue slip sequentially with reported profit supported by ₹23 cr of other income rather than trading; and the company is shifting from internally funded growth to USD 60 million of convertible bonds plus a ₹1,000 cr borrowing ceiling, which implies future dilution. The effective tax rate of 12–20% is likewise unexplained. None of this suggests anything improper — the execution record argues strongly the other way. But a Yes requires an accessible account of the difficult quarters, and there isn't one.

Prepared from public sources on 31 Aug 2026. No concall transcripts are available on Screener for this company — 18 investor-call entries are listed from February 2023 to June 2026 with no transcript file for any — so this is a global web deep-dive: Q1 FY27 results and coverage (Aug 2026), FY26 and FY25 results, exchange announcements on the 152mm artillery-shell and maiden aerospace orders and the FCCB/borrowing-limit proposals, company and trade-press material on the Belagavi and Mannheim facilities and export mix, and Screener.in consolidated financial statements. **All financial figures are consolidated**; Screener's default standalone series understates this business by roughly two-fifths. No management wording is quoted verbatim because none is publicly available. **This is not investment advice. Do your own due diligence.**